

has bottomed, the presidential cycle calls for two up years, the Decennial Pattern calls for the fifth and sixth year of the decade to be up, the Dow rose in January, so the "January Barometer" calls for an up year, the Chinese "Year of the Pig" has been bullish since 1923, and the National Football League team won the Super Bowl, so the "Super Bowl Indicator" presumably insures, as one national magazine put it, that "a winning year for stocks is an 89 percent lock." Articles in recent months have assured us that these statistical patterns (as well as an expanding economy, etc.) forecast a bullish outlook for the remainder of 1995 and all of 1996. Here are some representative clippings:

Outlook Good for Stocks in '95

Even though the year just started, investors can relax: 1995 should be good for stocks, according to the S&P January indicator.

The Standard & Poor's 500-stock index has been great at predicting up years

for the stock market. If the index rises in the first five trading days in January, it suggests the index will finish with a gain for the year. As far-fetched as that may seem, the so-called January indicator has been wrong only four times since 1950.

JANUARY 10, 1995 - USA TODAY

The pig graces the Chinese calendar every 12 years. And there hasn't been a down pig year on Wall Street since 1923. Average gain for the Standard & Poor's 500 index: 16%.

The market may have a lot more than the pig rooting for it. Historically, the third year of a presidency is good for stocks. Average S&P 500 gain in pre-election years since 1931: 20%.

JANUARY 3, 1995 - USA TODAY

Since 1912, the market has never declined in an administration's third year. Moreover, since 1914, the stock market has advanced an average of 50.3% from its mid-

term low to its third-year high—a feat which if duplicated this year would push the Dow well over 5,000.

JANUARY 16, 1995 - BARRON'S

Another signpost for '95: Every year ending in five this century has been good for stocks. Typical gain for the Dow Jones

industrial average for the nine "five" years since 1905: 34%.

JANUARY 3, 1995 - USA TODAY

According to the Super Bowl indicator, the 49ers' ringing win over the San Diego Chargers means stocks will rise this year.

JANUARY 31, 1995 - USA TODAY

While the 1995-1996 period has certainly started on the upside in anticipation of two years of advance, the Elliott Wave outlook once again challenges the overall outlook based upon the majority